

and it certainly doesn't include the proprietary information he provides in his course.

In its simplest form, a bullish Wolfe wave is a falling wedge with a signal line. Wolfe calls the signal line the EPA (Estimated Price at Arrival). I'll discuss that later.

The above Results Snapshot provides a glimpse into the pattern's behavior using my traditional gauges, that of the rise to the ultimate high. However, that's not how the pattern is supposed to be measured for performance. I'll measure and discuss some of Wolfe's targets in Trading Tactics. If you're a swing trader, pay close attention to that section.

The average rise in bull markets is below what you'd expect from bullish chart patterns. The rank reflects this dismal performance, putting it near the bottom of the list of chart patterns, where a rank of 1 is best.

In bear markets, however, the average rise at 32% is near the top of the list for best performance, ranking fourth where a rank of 1 is best.

The failure rate in bull markets is average, but the bear market failure rate is unusually small. Often the better the average rise the smaller the failure rate.

Let's look at a few examples before we delve into the performance statistics.

Tour

[Figure 76.1](#) shows the five turns that compose the bullish Wolfe wave, numbered 1 through 5. A trendline connecting valleys 1 and 3 slopes downward but so does another trendline connecting peaks 2 and 4. The top trendline has a steeper slope so that the two lines converge sometime in the future. Where they meet is the apex of the falling wedge, which Wolfe calls the ETA (Estimated Time of Arrival). It's the date when the stock is supposed to meet the price target for the Wolfe wave.

An EPA line joins turns 1 and 4 like that shown in the figure. Extend that line into the future, and if you're lucky, price will match the EPA at the ETA, signaling a sale. Did I use too many acronyms?